

Japan Daily Brief

Friday, September 25, 2026

1,897 words · 8 min read

RE: Trump-Xi summit concludes · Yen intervention signals · JGB yields 30-yr high · DPRK nuclear vow · Russia-Japan ties deteriorate

NIKKEI 225

66,364.20

▲ +3.82%

USD/JPY

157.84

▲ +0.50%

BRENT

\$98.90

▼ -1.44%

BOJ RATE

1.25%

• TOP STORIES

CHINA-JAPAN

Trump hails China as WWII ally, calls for Taiwan independence opposition at summit close

President **Donald Trump** concluded his Washington summit with Chinese President **Xi Jinping** by describing the two nations as 'allies in World War II' and affirming their 'common interests,' while Xi called on the US to 'oppose' Taiwan independence. Trump's WWII framing — which runs counter to the standard US-Japan Allied narrative — drew immediate notice in Tokyo, coming one day after Prime Minister **Sanae Takaichi** separately briefed Trump on Japan's concerns ahead of the Xi meeting.

per The Japan Times: "Xi calls for U.S. to 'oppose' Taiwan independence as Trump hails China as WWII ally"

THE JAPAN TIMES

ECONOMY-BOJ

Trump raised weak yen with Takaichi; Finance Minister Katayama signals intervention with Bessent's blessing

Finance Minister **Satsuki Katayama** disclosed that President Trump raised the weakness of the yen in his bilateral with Prime Minister Takaichi, and signaled that Japan would continue coordinating with US Treasury Secretary **Scott Bessent** on currency policy — implying the prospect of fresh intervention. The yen moved to the low-158 range against the dollar following Katayama's remarks, with Bloomberg separately reporting Goldman Sachs reversed its bearish yen stance, projecting a move to 150.

per FT: "Trump raised weak yen in talks with Takaichi, Japan finance minister says"

FT

ECONOMY-BOJ

Japan 10-year JGB yield hits 3.115%, highest since August 1996

The yield on Japan's benchmark 10-year government bond climbed to 3.115% on September 25, its highest level since August 1996. The move follows renewed yen weakness and expectations of further BOJ tightening, compounding pressure on the government as it searches for a path to fund the Takaichi budget without issuing new deficit bonds.

per Mainichi: "Japan 10-yr gov't bond yield climbs to 3.115%, highest since August 1996"

INDO-PACIFIC

Russia tightens grip over Japan's Northern Territories

NHK World reports Russia is intensifying administrative and economic control over the four Northern Territory islands, the subject of an unresolved postwar territorial dispute with Japan. A Russian deputy minister separately confirmed Russia-Japan relations 'continue to deteriorate,' per TASS.

per NHK: "Russia tightens grip over Japan's Northern Territories - nhk.or.jp"

NHK

TECHNOLOGY

US and Japanese officials discussed China's yttrium export curbs ahead of Trump-Xi summit

US and Japanese officials held pre-summit consultations specifically on China's restrictions on yttrium exports, a critical rare earth used in defense electronics and semiconductors, according to a document cited by Reuters. The exchange illustrates how critical-minerals leverage has become an explicit bilateral agenda item in the US-Japan economic security relationship.

REUTERS · SEP 25

• STAT OF THE DAY

3.115%

Japan 10-yr JGB yield — highest since August 1996

The yield on Japan's benchmark 10-year government bond rose to 3.115% on September 25, its highest level since August 1996, compounding fiscal pressures as the government struggles to fund the Takaichi budget without new deficit bonds.

Japan 10-yr gov't bond yield climbs to 3.115%, highest since August 1996 — Mainichi

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, SEPTEMBER 25, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi's bilateral with President Trump and her UNGA engagements from September 24 continued to generate coverage on September 25, with Finance Minister Katayama disclosing the yen exchange in those talks; no new confirmed Takaichi public appearance on September 25 itself is reported in today's articles.

防衛省 · MINISTRY OF DEFENSE

MOD to launch new startup technology procurement system

Japan's Defense Ministry will open applications next week for a new procurement system designed to incorporate advanced technologies from startups. The move follows ongoing efforts to diversify Japan's defense

industrial base beyond traditional contractors.

→ [Mainichi](#) ↗

内閣府 · CABINET OFFICE / DISASTER MANAGEMENT

Government to launch dedicated disaster management agency on November 2

The Japanese government decided on September 25 to establish a new disaster management agency on November 2 to centralize oversight of disaster response and preparedness. The decision comes as Typhoon Dujuan has killed at least nine people and left more than 10,000 homes without power in eastern Japan.

→ [Mainichi](#) ↗

内閣府（国家安全保障） · CABINET OFFICE / NATIONAL SECURITY

Government intelligence advisory panel to hold inaugural session September 28

An expert panel tasked with strengthening Japan's intelligence capabilities will convene its first meeting on September 28. The panel is part of the government's broader effort to enhance the National Security Secretariat's analytical capacity.

→ [Asahi](#) ↗

DIET SESSIONS / LDP

LDP

LDP panel proposes permit system for acquisitions of security-sensitive land

An LDP panel released a draft calling for a mandatory permit system for key land acquisitions near critical national security infrastructure, and pushed for a ban on individuals working for foreign governments from acquiring such land. The draft signals legislative intent ahead of the fall Diet session.

LDP

LDP approaches lawmakers linked to funds scandal for upper house committee posts

The LDP has reportedly approached legislators previously associated with the political funds scandal for appointments to House of Councillors committee positions, drawing internal criticism. The move comes ahead of the fall Diet session amid ongoing pressure over the party's handling of the slush-fund controversy.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%

JNN · Sep 7, 2026

62.5%

34.9%

Asahi · Sep 5, 2026

53%

33%

Discourse: The newly formed Democratic Reform Party recorded zero percent support in media polls in its first week, illustrating the difficulty opposition splinter groups face in consolidating voter backing ahead of the fall Diet session.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

MACRO · NIKKEI ASIA

Japan struggles to fund Takaichi budget without new deficit bonds as yields surge

With the 10-year JGB yield at a 30-year high of 3.115%, the government is facing acute difficulty financing the Takaichi administration's budget under the constraint of not issuing new deficit bonds. Ministries are simultaneously seeking a range of new tax breaks — covering bond purchases and wage hikes — as revenue alternatives.

MACRO · BLOOMBERG · BANK OF JAPAN

BOJ's price trend indicator quickens, supporting case for another rate hike

The Bank of Japan's preferred underlying price trend indicator accelerated in the latest reading, bolstering the case for an additional policy rate increase above the current 1.25%. The data arrives as JGB yields hit multi-decade highs and currency intervention risk re-emerges.

MACRO · THE JAPAN TIMES

Growth minister Kiuchi says Japan has exited reflationary economic phase

Minister **Minoru Kiuchi** stated that Japan's economy has exited its reflationary phase, comments that follow renewed yen weakness and further JGB yield gains. Finance Minister Katayama separately told Bloomberg that Prime Minister Takaichi is 'not a reflationist,' a signal intended to reassure bond markets about the government's monetary-fiscal policy stance.

SEMICONDUCTORS · NIKKEI ASIA · TOWER SEMICONDUCTOR

Israel's Tower Semiconductor designates Japan as primary hub for optical chip production

Tower Semiconductor, the Israeli foundry, will make Japan its main production center for optical chips, Nikkei Asia reports. The move adds to Japan's growing role as a semiconductor manufacturing destination alongside Rapidus (2nm, Hokkaido) and TSMC's Kumamoto facilities.

REGIONAL PRESSURE WATCH

High — 20 items (Japanese government: 5, adversary signal: 15)

CHINA

China's Foreign Ministry continued pushing back against Takaichi's UNGA call to remove the UN Charter 'enemy state' clauses, with Chinese state media (ECNS) urging Japan to 'earn trust through concrete actions.' US-Japan officials separately coordinated ahead of the Trump-Xi summit on China's yttrium export curbs, underscoring Beijing's critical-mineral leverage as an active bilateral security concern.

NORTH KOREA

North Korea confirmed via KCNA a test of an upgraded rocket launcher system; Janes assessed the weapon as an apparent HGV-equipped Hwaseongpho-11 variant hypersonic system. North Korea's foreign minister simultaneously declared the country's nuclear weapons commitment 'irreversible' and stated Pyongyang would retain nuclear weapons 'forever,' directly rebuffing US-Japan-South Korea denuclearization pressure.

RUSSIA

Russia's deputy foreign minister confirmed Russia-Japan relations 'continue to deteriorate,' per TASS. NHK World reported Russia is tightening administrative and economic control over the Northern Territories, reinforcing the trajectory of the dispute since Japan joined Western sanctions over Ukraine.

Senkaku / ECS: No new China Coast Guard intrusion or PLA activity near the Senkaku Islands is reported in today's articles; China's MOFA focus today was the 'enemy state' clause dispute and the Trump-Xi summit.

"extremely relevant today"

China Foreign Ministry spokesperson (attributed in prior-day reporting, continued in today's coverage) · China pushes back against Takaichi's call to remove 'enemy state' wartime label — The Japan Times

"irreversible"

North Korean Foreign Minister (per KCNA) · North Korea says commitment to nuclear weapons is 'irreversible'

Bottom line: North Korea's dual signal — a hypersonic missile system test and an explicit 'forever' nuclear declaration — represents the most operationally significant adversary move of the day, consolidating Pyongyang's deterrence posture against the trilateral US-Japan-ROK framework. Watch for Japan's MOFA formal protest and any MOD scramble or EEZ response reporting in the next 24 hours.

• U.S.-JAPAN RELATIONS

TRADE · THE JAPAN TIMES

Trump raised weak yen directly with Takaichi; Katayama to coordinate with Bessent on currency

Finance Minister **Satsuki Katayama** confirmed that President Trump voiced concern about the weak yen during his bilateral with Prime Minister Takaichi, and said she would continue coordinating with Treasury Secretary **Scott Bessent** — signaling potential intervention with tacit US support. The yen moved to the low-158 range against the dollar following Katayama's disclosure; Bloomberg reported intervention risk re-emerging as the 160 level approaches.

ALLIANCE · THE DIPLOMAT

Takaichi's pre-summit Trump briefing: Japan's pre-emptive diplomacy ahead of Xi's Washington visit

The Diplomat analyzes Prime Minister Takaichi's decision to brief President Trump on Tokyo's concerns before Xi Jinping arrived in Washington, framing it as pre-emptive diplomacy to shape the summit's agenda. The South China Morning Post separately noted that Xi received a formal reception that Takaichi did not, underscoring the asymmetry in Washington's current bilateral relationships.

• INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · MAINICHI

Mongolian PM Uchral to visit Japan from September 28 for talks with Takaichi

Mongolian Prime Minister **Nyam-Osor Uchral** will make a four-day visit to Japan beginning September 28 to meet with Prime Minister Takaichi, covering bilateral cooperation topics.

SOUTHEAST ASIA · NIKKEI ASIA

Vietnam lowers retail investment barriers, opening path for additional Japanese store chains

Vietnam has reduced regulatory barriers to foreign retail investment, clearing the way for further Japanese retail expansion into one of the fastest-growing consumer markets in Southeast Asia.

SOUTHEAST ASIA · STRAITS TIMES

Singapore and Japan deepen environmental and climate science cooperation

Singapore and Japan concluded agreements to deepen bilateral cooperation on environmental issues, including coastal protection and climate science, per the Straits Times.

• EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

INTERNATIONAL INSTITUTE FOR STRATEGIC STUDIES (IISS)

Japan's critical-minerals strategy

Japan's approach to securing critical minerals involves diversifying supply chains, stockpiling, and deepening partnerships with like-minded nations to reduce dependence on China.

The IISS examines Japan's strategy for securing access to critical minerals essential for defense and advanced manufacturing, covering stockpiling policy, overseas resource development, and bilateral supply agreements. The piece arrives as Reuters reported US-Japan pre-summit consultations specifically addressed China's yttrium export restrictions. Japan's vulnerability to Chinese rare-earth leverage has been a recurring bilateral agenda item with the United States.

SO WHAT The IISS analysis provides a strategic baseline against which to assess whether the US-Japan yttrium coordination reported by Reuters today constitutes an isolated tactical exchange or part of a broader allied critical-minerals architecture.

• UPCOMING

Sep
28

Government intelligence advisory panel inaugural session

Japan's expert panel on strengthening intelligence capabilities convenes its first meeting. The session is expected to examine organizational and legal reforms to the National Security Secretariat's analytical functions.

Sep
28

Mongolian PM Uchral arrives in Japan for four-day visit

Mongolian Prime Minister Nyam-Osor Uchral will visit Japan from September 28 for four days to meet Prime Minister Sanae Takaichi. The visit is expected to cover bilateral economic and security cooperation.

Oct
24

Japan Times Prep School Fair, Tokyo (Akasaka)

The Japan Times will host its annual Prep School Fair in Akasaka, Tokyo, bringing together domestic and international boarding and international schools. Registration is open.

Nov
2

Japan disaster management agency launch

The new centralized disaster management agency, approved by cabinet on September 25, is scheduled to begin operations on November 2. It will oversee national disaster response and preparedness coordination.

Jan
1

Diet ordinary session — expected convening (recurring, estimate)

Japan's ordinary Diet session typically convenes in January and runs approximately 150 days. Pending government business includes the FY2027 budget, defense buildup legislation, and land acquisition security reforms.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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